



China Internet & New Media

EQUITY: INTERNET & NEW MEDIA

Takeaways from TikTok shop logistics expert call

Strong GMV momentum supports J&T, while SEA remains better suited to an asset-light model

Key highlights

The Nomura China Internet Team recently hosted a call with an expert from TikTok shop (TTS; owned by Bytedance) in charge of logistics solution provision in Southeast Asia (SEA). The expert noted that TTS's e-commerce growth remains robust, with 1H26 GMV reaching ~USD35bn. Southeast Asia and the US remain the key contributors, with growth around doubling in 1H26. For J&T (1519 HK, Buy), the near-term outlook remains supported by its deep integration with TTS. J&T continues to handle a very high share of TTS parcels across most Southeast Asian markets thanks to its strong fulfillment capability, broad network coverage and cost advantages, according to the expert. In Indonesia, regulatory scrutiny may push TTS to onboard more regional logistics providers, but the expert believes that any near-term share loss risk for J&T is likely to be manageable given its scale, service quality and cost competitiveness compared to potential onboarding regional players. Besides, an asset-light third-party logistics and local warehouse ecosystem remains more suitable for TTS in SEA than a capital-intensive FBT-style model, especially given a relatively low AOV in this region, according to the expert.

TTS's GMV remains strong, with SEA and the U.S. as key growth engines

TTS delivered strong growth in 1H26, with global GMV reaching ~USD35bn. By region, SEA remained the largest contributor, accounting for around 53% of GMV and growing by roughly 100% y-y. The North America market (mainly the US) also scaled meaningfully, contributing around 29% of the GMV, up more than 130% y-y from a lower base last year, which was affected by tariff-related disruptions. Europe remains smaller, contributing around 10% of GMV, while Latin America is still in an early ramp-up stage. According to the expert, TTS has a good opportunity to achieve its aggressive full-year GMV target of ~USD100bn, particularly given the heavier promotional cadence expected in 2H26.

SEA remains a high-growth, low-AOV market where TTS has not yet pushed FBT aggressively

In SEA, TTS's AOV remains low and relatively stable at around USD4–5, except for Singapore, where AOV is higher but overall contribution is limited. TikTok Shop's daily parcel volume in the region has already reached meaningful scale, estimated by the expert at around 20–30mn parcels per day. Parcel volume growth remains strong, with 2Q growth broadly in line with 1Q (nearly doubling y-y). By country, Indonesia is the largest Southeast Asian market, contributing roughly 30% of regional parcel volume, while Thailand was highlighted as one of the fastest-growing markets in 1H26. For J&T, we think the cross-reading is positive. Given TTS is a major parcel volume contributor for J&T in SEA, TTS's continued GMV and parcel volume growth should support J&T's 2Q parcel volume momentum in this region.

TTS has introduced FBT, or Fulfilled by TikTok, a logistics model comparable to Amazon's (AMZN US, Not rated) FBA model to improve delivery speed and user experience. Under FBT, sellers place inventory into TikTok's warehouse or fulfillment network, while TikTok manages warehousing, picking, packing and outbound delivery. TTS has advanced its FBT build-out in the US, while Europe remains at an earlier stage of rollout. However, according to the expert, TTS is not aggressively pushing a large-scale FBT-style warehouse and fulfillment model in SEA. This is mainly due to the region's low AOV and limited consumer willingness to pay for ultra-fast delivery. As a result, TTS is more likely to pursue a lighter warehouse ecosystem model by working with local certified warehouses through managing fulfillment standards with policy incentives rather than

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directly operating a large-scale fulfillment network in SEA, according to the expert.

Indonesia's logistics investigation on TTS may not lead to J&T's abrupt share loss

The logistics-related antitrust investigation on TTS in Indonesia appears to focus on TTS's logistics allocation model and the high concentration of parcels handled by its leading logistics partners like J&T, according to the expert. The local logistics association's requests are broadly two-fold. First, it wants merchants to have more direct control over logistics provider selection, rather than having TTS allocate parcels through its internal algorithmic system. Second, it wants TTS to open its logistics interface and allow more third-party logistics providers to enter the platform's fulfillment pool.

The expert believes that a more likely compromise is that TTS maintains its centralized allocation system to balance service quality, network coverage and fulfillment cost, which TTS is unlikely to fully give up, while expanding the pool of eligible logistics partners such as more regional providers with strength in specific geographies. This would also help alleviate TTS's concern of high concentration on a leading logistics partner.

For J&T, this could create some diversification risks, but the near-term impact is likely to be limited, according to the expert, as J&T's broad network coverage, strong fulfillment capability and cost advantages should help it defend a significant share of TTS parcels.

Fuel cost inflation has limited impact on SEA e-commerce logistics economics

According to the expert, fuel price increases have had a limited impact on SEA's e-commerce delivery costs, as around 60% of unit cost per parcel are related to last-mile delivery, mainly courier cost, while line-haul transportation accounts for ~20%. Fuel costs only affect part of the line-haul component. Meanwhile, TTS and J&T renegotiate logistics pricing annually. Historically, TTS usually cut unit parcel price by single digit y-y, supported by rising parcel volume provided. This year, however, fuel cost inflation has reduced the scope for further price cuts, leading to only minimal final pricing adjustments. According to the expert, TTS is unlikely to apply excessive pricing pressure on J&T, as weakening service quality as a result of irrational parcel price could hurt user experience on the platform. We, therefore, believe J&T should be able to maintain a reasonable profit margin in SEA despite fuel cost pressures.

Large-scale self-built logistics is not a near-term priority for TTS in SEA

Logistics is capital- and operations-intensive, while TikTok Shop's current third-party logistics model remains functional and cost-effective, according to the expert. The platform has not yet faced a severe fulfillment pain point that would require it to build a large self-operated logistics network. Thus, the more likely near-term strategy is to remain asset-light, rely on third-party logistics partners, maintain centralized allocation, and selectively test self-built capabilities in specific markets such as Indonesia by leveraging Tokopedia's (owned by TTS) self-operated logistics capabilities. According to the expert, a full-scale shift to self-operated logistics does not appear to be the base case.

Appendix A-1

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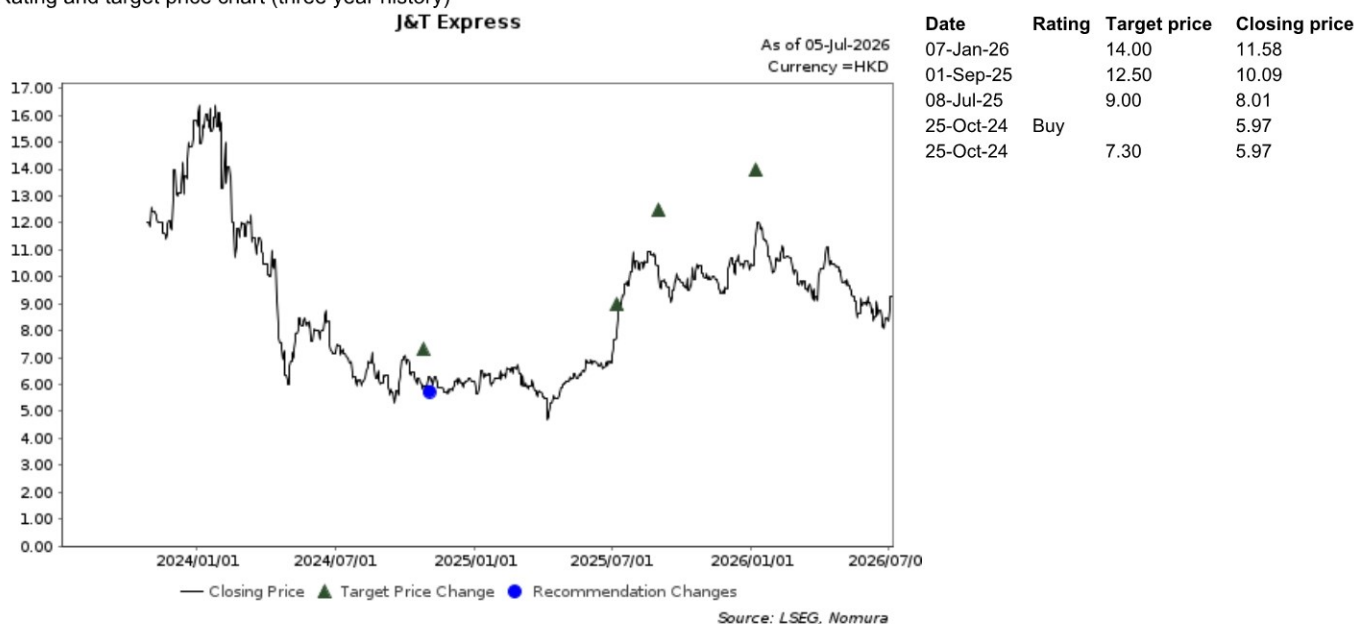
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J&T Express	1519 HK	HKD 9.25	03-Jul-2026	Buy	N/A	

J&T Express (1519 HK)

HKD 9.25 (03-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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